The ECB going into the week of 7 September

Written on Saturday 5 September 2026, five days before the Governing Council decides. It uses only what was public by then.

DEPOSIT RATE	AUG HICP FLASH	CORE HICP FLASH	EUR/USD
2.25%	**3.3%**	**2.4%**	**1.1622**
in force since 17 Jun	July: 2.9%	July: 2.5%	ECB reference, 4 Sep

01 Where policy stood

The ECB raised all three key rates by 25 basis points on 11 June. The deposit rate went to 2.25%, the main refinancing rate to 2.40% and the marginal lending rate to 2.65%. The stated reason was the war in the Middle East and the energy prices that came with it. The Council called the hike robust across a range of scenarios.

KEY ECB RATE	BEFORE 11 JUN	FROM 17 JUN	HELD 23 JUL
Deposit facility	2.00%	2.25%	2.25%
Main refinancing operations	2.15%	2.40%	2.40%
Marginal lending facility	2.40%	2.65%	2.65%

Levels before 11 June are the June increase of 25 basis points taken back off the published new rates.

On 23 July the Council held. The account of that meeting, published on 27 August, shows how narrow the pause was. Some members said they would not have opposed a hike. The Council agreed that a hold must not read as the end of tightening, because another increase would likely be needed unless the inflation outlook improved significantly. It also agreed not to promise a hike in September.

The guidance sentence has been the same since June: data dependent, meeting by meeting, and "not pre-committing to a particular rate path". So September rests on the data, not on a promise.

The calendar into the meeting

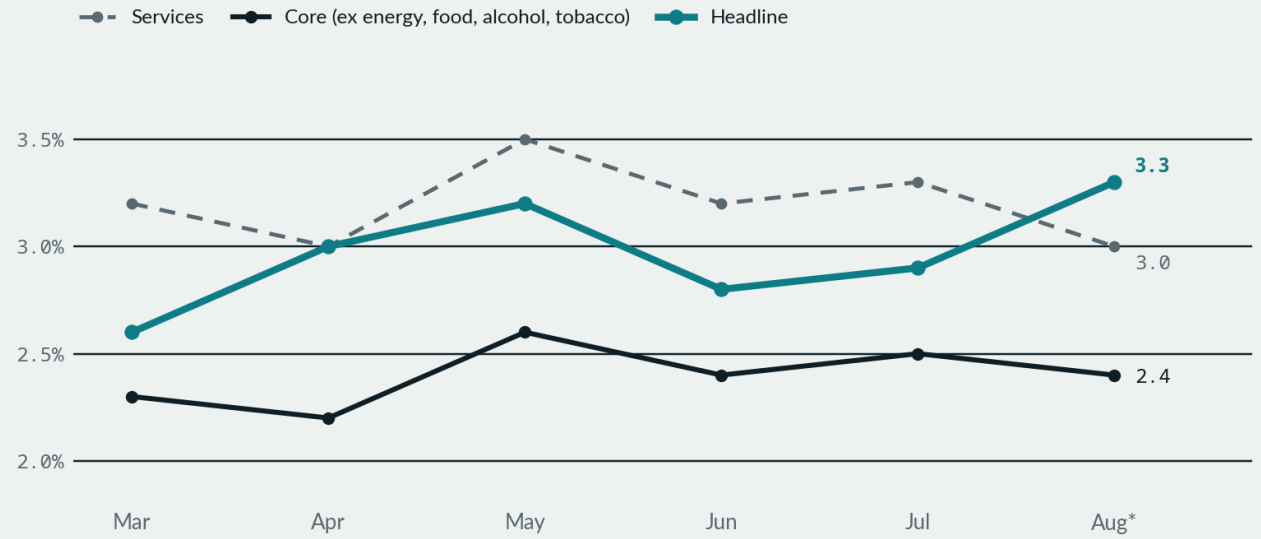
DATE	EVENT
11 Jun	All three rates raised 25bp, new staff projections
23 Jul	Rates held; account follows on 27 Aug
1 Sep	Eurostat flash: August HICP 3.3%
9 to 10 Sep	Governing Council meeting; decision 14:15 CET, press conference 14:45 CET on the 10th
17 Sep	Eurostat full August HICP due

Decision and press conference times are the ECB's standing schedule.

02 What the ECB was watching

The July account listed what September would add: new staff projections, the second-quarter GDP estimate, more inflation data, and fresh evidence on wages and on wage and inflation expectations. The question for the Council was whether higher inflation was still a direct result of the energy shock or a more lasting shift.

EURO AREA HICP, ANNUAL RATE, % (EUROSTAT)



* August is Eurostat's flash estimate of 1 September. The full August figure is due on 17 September.

Headline inflation fell to 2.8% in June, rose to 2.9% in July, and the flash put August at 3.3%. Energy did the lifting: 14.3% a year, up from 10.3% in July. Underneath, the picture was calmer. Inflation excluding energy, food, alcohol and tobacco slipped to 2.4% from 2.5%, and services eased to 3.0% from 3.3%.

That split drives the debate. A headline pushed up by energy argues for patience if the shock fades, and for action if it spreads into prices elsewhere.

JUNE STAFF PROJECTIONS, THE BAR SEPTEMBER IS COMPARED AGAINST

ANNUAL AVERAGE, %	2026	2027	2028
Headline HICP	3.0	2.3	2.0
HICP excluding energy and food	2.5	2.5	2.2
GDP growth	0.8	1.2	1.5

Eurosystem staff projections, ECB press release of 11 June 2026.

03 What the market expected

Public reads on pricing are few, but they point the same way. At the July meeting, markets had a September hike almost fully priced in and a second one fully priced in by February 2027. The ECB's Survey of Monetary Analysts was more restrained, with one further hike in 2026. Those are the latest pricing reads in an ECB document dated before 5 September.

On 2 September, Bundesbank President Joachim Nagel told Le Monde that markets were pricing in a more than 95% probability of a September hike. So this document treats a 25 basis point move to a 2.50% deposit rate as the base case. The euro had firmed since July: the ECB reference rate was 1.1590 on 1 September and 1.1622 on 4 September, against about 1.14 at the July meeting.

04 What could still surprise

A hold

The July account called September the next full assessment. A hold would mean the new projections or the data had weakened the case for a hike.

Out-year projections

June had 2027 at 2.3% and 2028 at 2.0%. A change in those years would say more about the Council's view than 2026, which already sat at 3.0%.

The guidance wording

The key sentence has not moved since June. Any change, in either direction, would be news.

The room behind the vote

In July the members agreed on the decision but not on the emphasis. A hike with open disagreement would read differently from a clean one.

None of these is a forecast. They mark where the outcome could differ from the base case.

WHAT THIS MEANS FOR THE WEEK

The decision is Thursday 10 September, with the press conference at 14:45 CET. If a hike is the base case, the wording and the projections carry the information. The next documents check how traders are set up in euro futures, then lay out the week ahead and the thresholds for Thursday.

THREAD: How are traders positioned in the euro going into the week? The next document, the Saturday positioning report, uses public CFTC data.

SOURCES

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6. Deutsche Bundesbank, interview with Joachim Nagel in Le Monde, 2 Sep 2026 (market pricing of a September hike). https://www.bundesbank.de/en/press/interviews/-rising-interest-rates-in-the-financial-markets-are-complicating-the-ecb-s-situation--1007256

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